

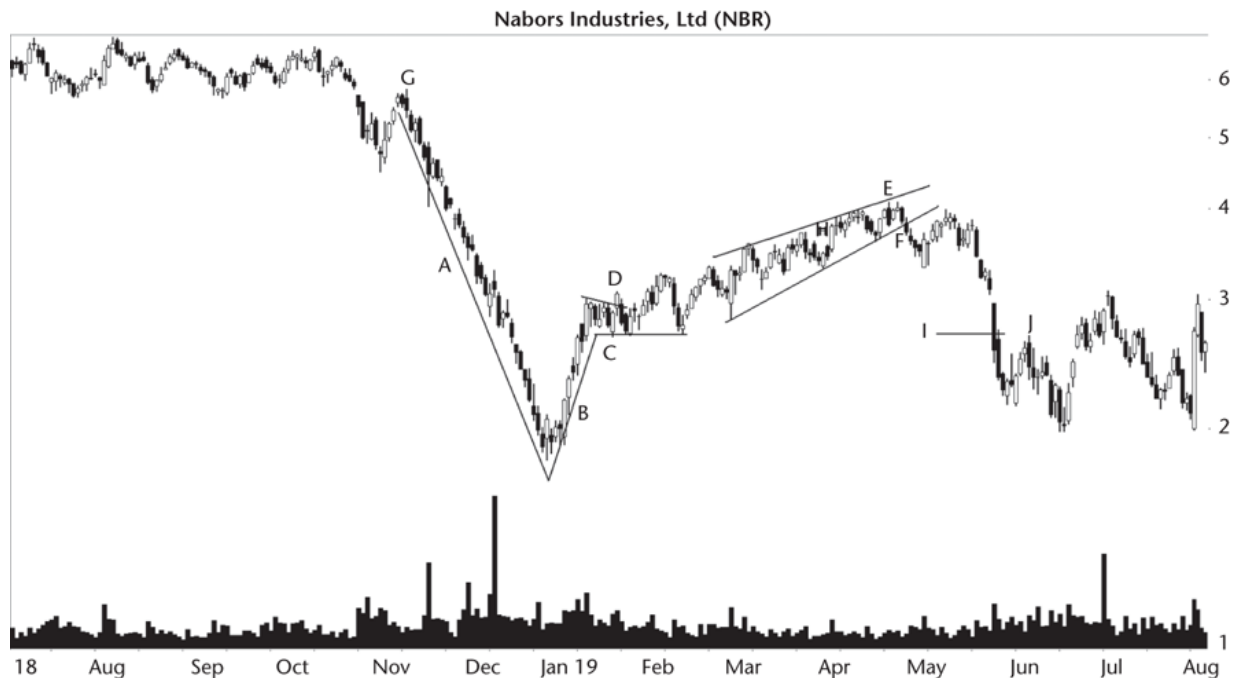


Figure 70.5 Jake makes 24% on this extended V-bottom trade.

One could expect a bounce after that kind of a crash, but would it form a V? Time answered that question. Price recovered, following B, an almost mirror rise to the “A” decline (but much shorter).

When price hit \$3, the stock started moving sideways, forming the extension which I show as C.

“I watched the V-bottom unfold and saw the stock move sideways [at C]. The consolidation region was unusually tight-looking [before peak D], and when the stock broke out upward from the top of that region [at D], I decided to buy.”

He received a fill at 2.96 at the open the day after D. The stock dropped that day and the next. “I thought I had made a mistake. Usually my trades work right from the start or not at all. I was concerned, but I’m also a patient trader and price didn’t drop much, fortunately.”

He continued to hold onto the stock, and it rewarded him with a move up in early February that threw back to the bottom of the extension (the last touch of line C, on the right).

The full-height measure rule target was the high at G, or 5.82. The low at the bottom of the V was 1.81 for a height of 4.01. Half the height was 2.00,